

EXECUTIVE SUMMARY:

NAVINGATING UNCERTAINTY

Foundations, as well as the nonprofit organizations they fund, face a great deal of uncertainty right now resulting from extreme federal budget cuts. In some ways, the current moment is unlike anything we have experienced before. This study investigates how foundations are responding to the current environment. The findings of this project can provide a roadmap for how foundations can respond as they navigate ongoing budget cuts and their relationships with nonprofit organizations.

How foundations are responding to the current moment is the central focus of this project. To answer this question, a sampling frame of foundations was created by combining foundations that signed the *Meet the Moment* pledge with foundations identified through Argosy's affiliated networks. In total, the sampling frame included approximately 500 foundations. A further sample of foundations was then drawn to determine whether they issued public statements addressing the issue. The main criterion to fit the sample for this project was filing a 990-PF. Because public statements addressing the current moment were rare across the full sampling frame, *Meet the Moment* pledge signers were intentionally oversampled. Foundations were then randomly selected from the affiliates and pledge signors lists. The final sample size was 95 foundations, 62 out of the 95 foundations were pledge signers.

Public statements were the primary data source, which were identified through multiple Google search queries that paired foundation names with key terms such as *uncertainty*, *budget cuts*, and *chaos*. Statements were gathered from foundation websites, reports, and *Meet the Moment* pledge materials, as well as additional sources such as Facebook, LinkedIn, and other social media platforms. Financial data was also collected from each foundation's 990-PF filings, including total assets, net assets, and charitable giving amounts. After data collection, statements were reviewed and coded into thematic categories. Statements were categorized as reflecting either general or strategic actions. Descriptive statistics were used to examine financial characteristics and to compare foundations with charitable giving below \$20 million to sector leaders with charitable giving above \$20 million. The analytical approach for this project is descriptive and explanatory.

About one-third of the foundations (34.7%) made a public statement, suggesting most stayed silent. Strategic actions were more common (21) among the statements that were made compared to general messages (11). The strategic statements focused on things like increasing grants, simplifying processes, boosting payouts, collaborating with others, being transparent, offering legal support, and listening to others. General statements, on the other hand, mainly acknowledged the challenging environment and reaffirmed the foundation's mission and commitments. Larger foundations with charitable giving over \$20 million were far more likely to speak publicly, while smaller peers mostly stayed quiet, though many quietly signed the *Meet the Moment* pledge. Overall, behavior within Argosy's peer groups suggests that making a public statement isn't as common, but endorsing the pledge is.